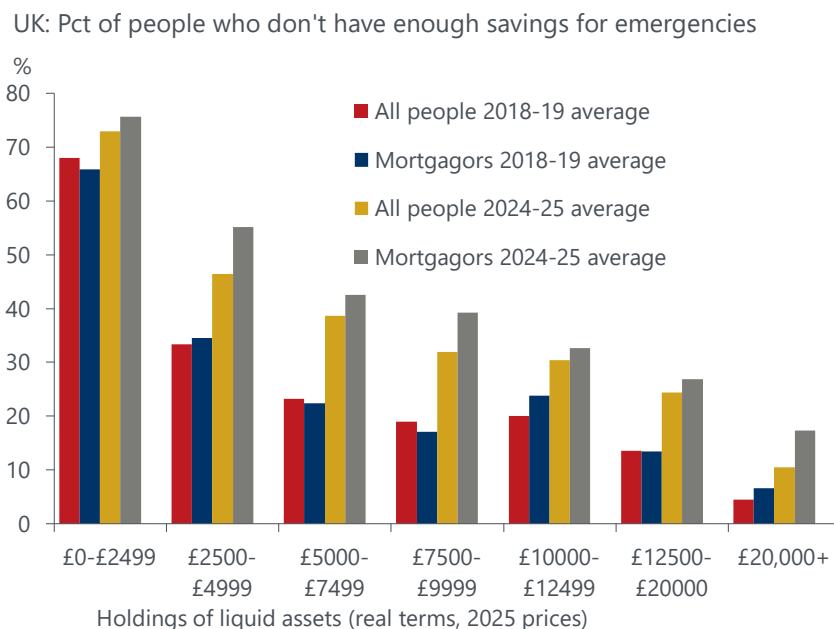


Research Briefing | UK

Why are household savings higher? Evidence from microdata

- Compared to the pre-pandemic period, there has been a widespread rise in household savings rates across the population, measured by inflows to liquid assets (e.g. bank deposits). By age, the sharpest increase is among younger cohorts (18-34 years), though saving rates are also up among older age groups. By housing tenure, savings rates have risen markedly among mortgagors, homeowners with no mortgage, and people who rent privately.
- A key driver of the rise in savings is heightened financial insecurity: even though the median level of liquid assets is higher now than the pre-pandemic period, the share of households who say they don't have enough savings for emergencies has risen slightly. Other factors are higher interest rates and a desire to rebuild savings that have been eroded by higher inflation.
- Financial insecurity has risen most among mortgagors and people who rent privately, as well as among people with relatively low holdings of liquid assets. The rise in financial insecurity probably reflects scarring from the economic shocks of recent years, including the pandemic, surging energy prices, higher inflation, and sharp rises in mortgage rates. This has led to higher precautionary saving, with people seeking to hold higher levels of liquid assets than in the pre-pandemic period.
- The household savings rate will probably fall in the next year or two, but precautionary saving is likely to keep the saving rate relatively high compared to the pre-pandemic period. In turn, this is likely to cap consumer spending growth, contributing to sluggish overall economic growth and prompting the Monetary Policy Committee to cut rates further over the couple of years.

Chart 1: Financial insecurity has risen more among people with relatively low levels of liquid assets



Source: Oxford Economics

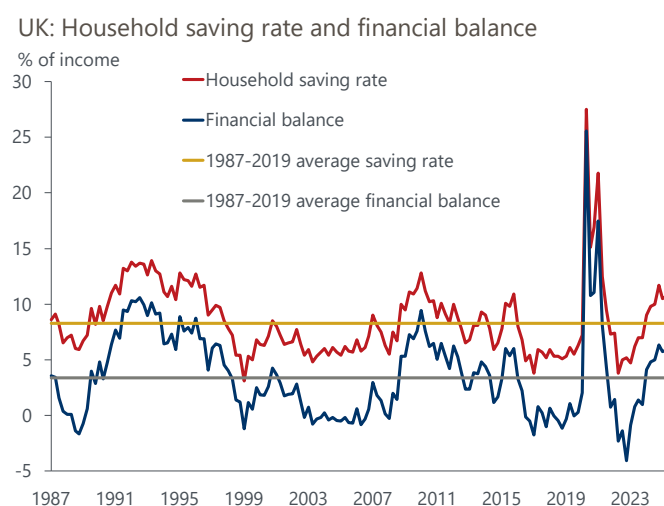
Why are household savings higher? Evidence from microdata

The household savings rate has risen well above historic norms

Aggregate data suggest that, after falling sharply from pandemic highs in 2021-2023, the household savings rate has rebounded markedly since early 2024. In Q2 this year (latest data), the household saving rate was 10.7%, with the household financial balance (a broader measure of saving, which also deducts household capital spending) at 5.9% of household income. Both measures are about 2.5ppts above their long-run averages (1987-2019), and at levels that have rarely been exceeded in recent decades, outside the enforced rise in savings during the pandemic.

The flipside of this is that consumer spending has lagged well behind the growth of household incomes, contributing to the sluggishness of the overall economy.

Chart 2: The household saving rate is well above average



Source: Oxford Economics/Haver Analytics

The financial accounts show that the rise in savings compared to the pre-pandemic period chiefly reflects greater inflows to financial assets, especially bank deposits, rather than slower debt growth. For example, in the last four quarters, inflows to financial assets averaged 8.9% of household income, compared to 5.4% on average in 2018-2019.

Within that, inflows to bank deposits and other liquid assets (government securities and purchases of loans) rose to 5.3% of income from 3.4%. Inflows to all other assets combined rose from 2.0% of income from 2.0%, with little change in inflows to pension funds and long-term insurance products, but reduced outflows from equities and unit trusts. Meanwhile, the rise in household debt has slowed slightly to 4.1% of income in the last four quarters, compared to 4.4% on average in 2018-2019.

Who's saving more? The thrifty young

But these aggregate figures tell us little about which households are saving more and why. To address this, we use micro data from the NMG household survey published by the Bank of England. This survey has been running since 2010, and contains detailed information on household assets, incomes and savings (see [here](#) and [here](#)). It usually covers about 6,000 households per year, although in 2025 there were two surveys and hence just over 12,000 households.

The NMG survey has incomplete coverage of pensions and less liquid assets (e.g. equities and mutual funds). However, it does cover holdings and inflows/outflows from liquid assets (e.g. bank deposits, National Savings), and, as the macro data show, higher inflows to these have been a major part of the rise in overall household savings.

Our analysis shows that on average, households' average annual inflows to liquid assets have risen from 7.5% of pre-tax income in 2018-2019 to 9.6% in 2025 (averaged across the first and second halves of the year). The scale of the rise – 2.1ppts – is consistent with the macro data, although the average inflow to liquid assets in the NMG survey is higher than the macro data. (Note that in this calculation we have

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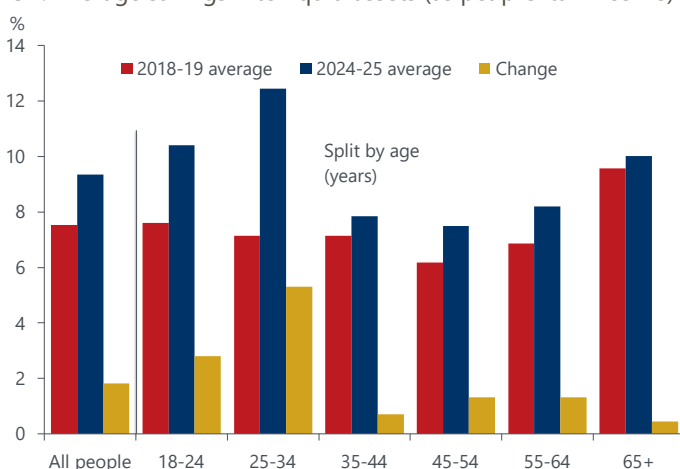
omitted a small number of households who appear to have very high savings rates, possibly because either their incomes or inflows to savings are mis-measured.)

The split shows that, comparing the average for 2024-2025 with 2018-2019, the rise in savings rates has been widespread across age groups, but has been largest among younger people. The saving rate among those aged 18-24 years increased by 2.8ppts and among 25-34 years by 5.3ppts, compared to an overall rise of 1.8ppts. The rise among older people has been smaller: increases of 1.3ppts for the 55-64 age group and 0.4ppts for the 65+ group.

Note that the rise in savings rates among younger people is not a side-effect of increased repayments of student loans. Savings rates are measured here by inflows to liquid assets, which do not include repayment of student loans. A broader savings measure, including repayments of student loans, would probably be higher than the figures shown here.

Chart 3: Inflows to savings have risen especially sharply among younger people

UK: Average savings into liquid assets (as pct pre-tax income)



Source: Oxford Economics/Haver Analytics

Split by housing tenure, the average rise in savings (comparing 2024-2025 with 2018-2019) is similar at close to 2ppts of income among mortgagors, homeowners with no mortgage, and those who rent privately. But the rise has been smaller for people who rent from a local authority, who typically have lower income and are less likely to have scope to save more.

How much savings do people have?

The distribution of holdings of liquid assets is highly skewed. The median per household is around £11,250 (September 2025), but nearly a quarter (23%) have less than £1,000, and a similar number have more than £75,000. In real terms (2025 prices), the median holding of liquid assets rose from about £7,000 per household in 2016 to about £9,600 in 2019, then fell to about £6,000 in 2023 due to higher inflation. It has rebounded since then.

Comparing the average for 2024-2025 with 2018-2019, median real holdings of liquid assets rose especially sharply in the 25-34 age group: up 70%, from £4,500 to £7,700 (versus a rise of 11% for the overall population). Split by housing tenure, the rise has relatively large among people who own their home with a mortgage (rise of 27% from £6,800 to £8,600) and rent privately (up 34% from £1,600 to £2,200), with a smaller rise among people owning their home with no mortgage (up 5%, from £48,500 to £50,800). Trends are similar looking at mean rather than median holdings of liquid assets.

Why are people saving more?

Key factors behind the rise in savings appear to be higher interest rates, a desire to rebuild real savings levels after the 2022-2023 inflation surge, and precautionary saving.

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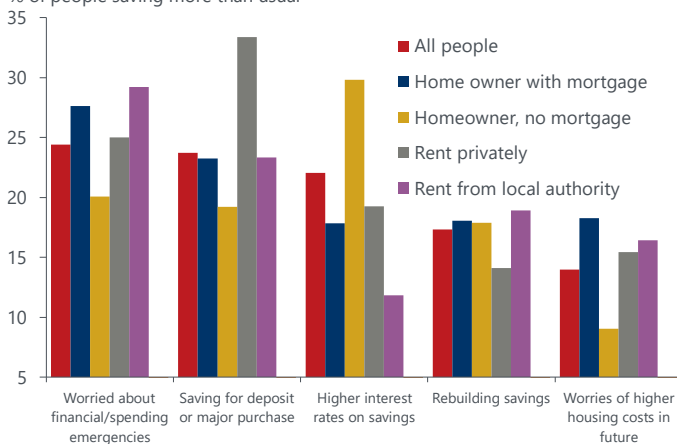
Among people who report they are saving more than usual, the top reason in H2 this year was that their income increased. But this was balanced by a roughly equal number of people who reported they saved less than usual because their income fell. Excluding this, the top reason for saving more was because of "greater worries about financial/spending emergencies"; saving for a specific purpose such as deposit on a house was second; "higher interest rates on savings" was third; and a desire to rebuild savings was fourth. Various other precautionary motives for saving (e.g. worries over job loss, future tax hikes, future rises in housing costs) also featured.

The split shows that financial insecurity (i.e. "greater worries about financial/spending emergencies") as a motive for saving more ranked higher among mortgagors, renters and among people aged 18-55 years, while higher interest rates were viewed as relatively more important among people who owned their home with no mortgage and the over 55s. A relatively high share of people who rent privately reported they were saving for a specific purpose, which would include people saving for the deposit on a first mortgage.

Chart 4: Financial insecurity, saving for specific purpose and higher interest rates lifting savings

UK: Main reasons why people are saving more than usual

% of people saving more than usual



Source: Oxford Economics/Haver Analytics

Interest rates ranked more highly as a reason for saving more than usual in 2023-2024, when Bank Rate peaked, but have fallen in importance as interest rates have declined. Compared to earlier periods, the incentives to save in recent years because of higher interest rates has been magnified by the widespread shift of savings into tax free cash ISAs after the rise in the limits on inflows to them in 2014/2015 and the interest rate hikes in 2021-2023.

Financial insecurity has risen among some types of households

The elevated importance of having enough saving for emergencies seems to reflect greater financial insecurity and a desire to hold a greater buffer stock of savings. Even though median (and mean) holdings of liquid assets have risen since the pre-pandemic period, the share of households who report they do not have "enough money set aside for emergencies" has edged up from 35% on average in 2018-2019 to 38% on average in 2024 and 2025 (with similar figures in both years).

Within that, the rise in financial insecurity has been relatively large among mortgagors (up from 36% to 43%) and people who rent privately (up from 51% to 55%), with smaller rises (about 1ppt) among people who own their home with no mortgage or who rent from a local authority. By age group, the rise in financial insecurity has been relatively large among people aged 25-34 and 35-44 years.

The biggest rises in financial insecurity have been among people who have relatively low holdings of liquid assets (e.g. £2,500-£10,000), with a smaller rise among people who hold relatively high levels of liquid assets, above £20,000 (**Chart 1**).

In turn, follow-up questions suggest that the top financial emergencies that people worry about are unexpected bills such as a broken boiler, and life events such as divorce or ill health. We doubt that these have so much more importance now than pre-pandemic. The next most frequently cited factors are risks of

Why are household savings higher? Evidence from microdata

a rise in housing costs, income loss or job loss, which feature relatively highly among people aged under 55 years, mortgagors and renters. We suspect that worries about these factors may be greater now than used to be the case.

Why has financial insecurity risen for some households?

The importance attached by households to financial insecurity is probably a legacy of the economic shocks that have hit households in recent years. The pandemic-related lockdowns (2020-2021) caused widespread income losses, especially among people on furlough, and disrupted job opportunities. Then energy prices and inflation surged in 2022-2023, while mortgage rates more than doubled between 2021 and 2024.

Before 2020, quite reasonably, people's decisions on saving and spending probably didn't assume a pandemic, double-digit inflation, and a 500bp rise in Bank Rate. The idea of such large economic shocks was almost unthinkable.

Now, having directly experienced such dramatic swings in household incomes and expenses, people's expectations for the future probably will – quite reasonably – put much more weight than previously on extreme downside possibilities. The desire to self-insure against such adverse tail risks is likely to cause people to aim for a higher precautionary level of savings than previously. Previous episodes of extreme economic volatility also created similar scarring effects, for example after the US Great Depression in the 1930s and the 1970s inflation surge in the UK (see [here](#) and [here](#)).

These scarring effects may be larger among younger people, renters and mortgagors because the recent economic volatility has hit these groups harder. For example, the pandemic lockdowns and energy price shock hit the incomes and jobs of younger and lower-paid workers more heavily (see [here](#) and [here](#)), while mortgagors have borne the brunt of higher interest rates. Conversely, many homeowners with no mortgage have gained from higher interest income as interest rates rose.

Moreover, younger people and renters typically have lower levels of savings than older people and homeowners, and hence less financial resilience to shocks. And finally, the recent turbulent years form a bigger share of younger peoples' personal experience, so they are probably more likely to view such turbulence as the norm for the future. Older people, having experienced the more benign periods of the 1990s and 2000s, are probably less likely to view the recent extreme economic volatility as the norm.

High inflation may be a part of the rise in financial insecurity, especially since this led to higher interest rates. But the cause seems to be broader economic uncertainty rather than only inflation uncertainty. In particular, financial insecurity has risen less among people with relatively high savings levels, such as homeowners with no mortgage and those with liquid assets over £20,000, even though this group might be expected to suffer most from the erosion of real savings through higher inflation. If higher financial insecurity chiefly reflected inflation uncertainty, people with high savings levels probably would be among the most affected.

Implications for the economy and monetary policy

If, as seems likely, interest rates continue to fall over the next year, the share of people who report they are saving more than usual because of high interest rates will probably fall further. However, precautionary motives to save may well remain powerful for a while, given how many people still believe they don't have enough savings as a cushion against emergencies. Of course, if peoples' desired level of savings is fixed, then eventually enough people will get there and hence will not need to save so much. But the NMG survey results suggest we aren't there yet.

Against this backdrop, we expect the [household savings rate will fall quite gradually](#) in the next few years. Consequently, with post-tax incomes constrained by tax hikes, this points to a sluggish consumer spending outlook.

How will this all affect monetary policy? Recently, the external member of the Monetary Policy Committee, Catherine Mann, has [argued](#) that elevated inflation uncertainty was contributing to the high household savings rate. In turn, she argued that to "create an environment conducive to growth, monetary policy must remain restrictive for longer" to reduce inflation uncertainty and hence encourage households to save less.

We doubt this strategy would succeed in promoting economic stability.

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In our view, the rise in financial insecurity is not chiefly because of low interest rates, but because the economy has been hit by series of shocks. In the face of such shocks, it is of course essential for monetary policy to ensure that inflation expectations are sufficiently anchored on the 2% inflation target. But monetary policy alone could not have prevented the recent series of shocks from causing heightened economic volatility through some mix of higher inflation and job losses. In these circumstances, a strategy of keeping monetary policy tighter than needed simply to return inflation to the 2% target in order to significantly reduce inflation uncertainty would exacerbate weakness in output, probably leading to higher unemployment. So we doubt this strategy would reduce financial insecurity: in fact, it probably would increase it, leading to persistent high savings rates and even weaker activity.

In our view, rather than regard the rise in precautionary saving as endogenous – something that monetary policy can affect – it's better to view it as an exogenous factor that monetary policy needs to adapt to. If, as seems likely, recent economic volatility means that households want to keep saving to lift their buffer stocks of precautionary savings, then economic growth will tend to be sluggish until the process is complete.

In effect, this means the neutral level of interest rates will be lower than otherwise. This does not mean that a return to the very low neutral rates of the pre-pandemic period is likely, especially given the rise in inflation expectations since then. But it does support our view that MPC rate cuts will probably exceed market expectations over the next couple of years.